Index Bollinger Dip

Factory Bot v1.1, candidate A · the first strategy found by our Strategy Factory · 14 October 2026

+0.20R
average per trade, 2010–2026
(2021–26: +0.31R)

59%
of trades win (328 trades)

~24
trades a year, across 10 indices

0.05
correlation with Daily Systems (NAS bot: about 0)

Why it should work

When a stock index has an unusually sharp fall, forced and emotional selling tends to overshoot, and the price usually recovers part of the drop within about a week. Large funds can't easily trade this across 10 smaller index CFDs at once — at our size we can.

The rules

- **Markets:** 10 stock indices — US500, US100, US30, US2000, GER40, UK100, FRA40, EU50, AUS200, HK50.
- **Buy** when an index closes **below its lower Bollinger band** (the 20-day average minus 2.5 times the 20-day standard deviation). The order is sent 60 minutes after the next daily open, once that market is trading.
- **Sell 5 trading days later.** No take profit.
- **No normal stop.** Testing showed a normal stop sells just before the bounce and wipes out the edge.
- **Disaster stop** 10 times the average daily range below the entry, purely for a true crash. It has almost never been hit.
- One position per index; several indices can be held at once, because sharp falls often hit several together.
- **Risk budget (v1.1):** all open positions together never add up to more than 6 full-size positions. If 6 are already open, new ones get a smaller size. So even if every disaster stop hit on the same day, the most it could lose is 30R ($3,000 at half size) — the worst real day in 16 years was 5R.

Size

- **Risk Per R = $200**, where R = twice the index's average daily range. The bot works out the position size itself.
- A normal losing trade costs about $200–400. The worst single trade in 16 years lost about $1,000 (5R); the worst single day was about −$1,100 (5.6R).
- **First 30 live trades at half size ($100 per R)**, as our Quant Process says.

How it was tested

Stage	Result
Strategy Factory: 8,832 strategies tested on 28 markets	34 survived the build and confirm periods; 29 passed the final check
Build period (to 2020)	+0.13R per trade
Confirm period 2021–23 (unseen)	+0.32R per trade
Final check 2024–26 (opened once)	+0.30R per trade, likely range above zero
Edge over simply being in the market	About +0.20R per trade better than buying every day with the same exit
Worst drawdown (2010–26)	11.5R (about $2,300 at $200 per R)
Account simulation with the NAS bot ($550) and Daily Systems	Fail odds 16.8% → 16.2%; passes about 6 days sooner

All tests include spread, commission and overnight fees; signals use the daily close and fill at the next open.

Your cTrader tick backtest

- Create a new cBot called **Factory Bot**, paste in Factory_Bot.cs, and click Build.
- Attach it to a **US500.cash, Daily** chart and leave every setting at its default.
- Run **tick data from server**, **1 January 2021 to today**, balance 100,000, commission 30.
- If any market prints "Symbol not found" at the start, send the FTMO name for it.
- Send the log (it ends with H| lines) and a screenshot of the results.

It passes if: profitable in both 2021–23 and 2024–26, at least 6 of the 10 indices positive, and the worst drawdown under about $3,500.

Switch-off rule (monthly review)

Pause the bot if its last 50 trades average below −0.05R, or if its drawdown passes $3,500 (1.5 times the worst the backtest showed). A paused bot is re-tested before it restarts.

Files: bots/07_Factory/Factory_Bot.cs (the bot), STRATEGY.md, research/factory (the Strategy Factory and test scripts).